



Primary Wave - Kobalt

MN-25018

Phase 1 Determination

Acquisition may be put into effect

10 June 2026

1. Determination and statement of reasons

Notified acquisition	Primary Wave KB Holdings, LP (together with its group companies, Primary Wave), intends to acquire substantially all of the interest units of Kobalt Music Group Topco L.P. (together with its subsidiaries, Kobalt) from Francisco Partners Management, L.P. (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Primary Wave, is a US-based music acquisition, publishing and talent management company engaged in acquiring, managing and commercialising music rights and related intellectual property of new songwriters and the catalogues of prominent artists and songwriters. The target, Kobalt, is a digital royalty collection and music publishing administration company. Kobalt's main business activities relate to the provision of music publishing administration services to third-party music rights holders. Kobalt's music publishing services are provided under the Kobalt brand for established artists and the KOSIGN brand for emerging independent talent. Kobalt's digital royalty collection platform is provided under the "amra" brand.
Overlap and relationship between the parties	The parties overlap in the supply of music publishing services. Kobalt also supplies Primary Wave with music publishing and royalty collection services.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form and third parties, market share data from prior and current other matters and publicly available information. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. • Post-acquisition, the Parties' market share aggregation is estimated to be very low. • The merged firm would continue to face competition from alternative suppliers of music publishing services in Australia

	and globally including Universal Music Australia, Sony Music Entertainment, Warner Music Australia and BMG. • Post-acquisition, Primary Wave is unlikely to have the ability or incentive to foreclose rivals' access to Kobalt's music publishing or royalty collection services due to the scale of its catalogue and the presence of the alternative suppliers of music publishing services, as noted above.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

**Determination made by Commissioner Williams pursuant to a delegation under section 25(1)
of the Act**